

Citi's \$44.5M CMBS Loan Shows Multifamily Refinancing Is About Basis, Not Confidence

Benchmark's refi at 103% of purchase price reveals how low leverage and sponsor quality unlock CMBS liquidity.

The most important number in Benchmark Real Estate Group's \$44.5 million CMBS refinancing is not the loan amount. It is the purchase price: \$43 million, paid in 2024. The new debt represents roughly 103 percent of the acquisition cost. That ratio tells the market more about the state of multifamily capital than any press release about strong fundamentals.

Citigroup provided the floating-rate CMBS loan for the 61-unit, six-story apartment building at 194 East Second Street in Manhattan's East Village. JLL's debt advisory team negotiated the transaction. The property includes roughly 15,450 square feet of retail space anchored by Duane Reade, plus amenities such as a fitness center, sauna, yoga studio, Pilates room, and courtyard.

Benchmark acquired the asset from Skyline Developers in 2024 and has since completed renovations to units, common areas, and amenity spaces. This is not a story about a lender betting on rent growth. It is a story about a lender betting on a defensible basis and a sponsor with execution credibility. Benchmark bought the building for \$43 million.

Two years and a renovation program later, Citi is willing to lend \$44.5 million against it. That is not aggressive leverage. It is a refinancing that stays inside the purchase price plus modest capital improvements. The loan-to-value, assuming any reasonable post-renovation appraisal, is likely conservative by CMBS multifamily standards. The capital markets signal here is precise.

CMBS execution for multifamily is available, but only for assets where the basis is known, the sponsor is institutional, and the income stream is stabilized. Citi's multifamily-only CMBS portfolio, as JLL's Clayton Ross noted, creates an efficient execution path for sponsors like Benchmark. That efficiency is not available to every owner.

It is available to owners who bought at prices that leave room for a refinancing that does not require a heroic appraisal or a rent spike. Consider the alternative. An owner who bought at the 2021 peak, financed with short-term floating-rate debt, and now faces a 2026 maturity is in a different position. That owner needs either a valuation that supports higher proceeds or a cash injection to bridge the gap.

Benchmark faces neither constraint. The 2024 purchase price is recent enough to be credible with appraisers and low enough relative to current income to support a refinancing that covers the original equity check plus renovation costs. Who benefits from this transaction? Benchmark, clearly. It has replaced whatever acquisition financing it used with longer-term CMBS debt, likely at a fixed or capped rate that provides visibility.

Citi benefits by originating a loan that fits its CMBS portfolio criteria: a well-located, stabilized multifamily asset with a strong sponsor and a basis that limits downside. JLL benefits by demonstrating that its debt advisory platform can access CMBS execution for the right client. Who is exposed? The CMBS bond buyers who will ultimately hold this risk. But the exposure is manageable.

The loan is sized against a known purchase price, the asset has retail income from a credit tenant, and the sponsor has already demonstrated the ability to execute a renovation program. This is not the kind of CMBS loan that keeps special servicers busy. The broader pattern is worth watching. Multifamily refinancing volume is picking up, but the composition matters.

Agency debt through Fannie Mae and Freddie Mac remains the dominant execution for garden-style and suburban product. CMBS is filling a specific niche: urban, institutional-quality, often with retail components, where the sponsor wants speed and flexibility rather than agency structure. Citi's willingness to lend into this niche suggests that CMBS lenders see multifamily as a safer bet than office or hotel, but only at the right basis.

The market is not rewarding optimism. It is rewarding structure. Benchmark bought at a price that made the math work. Citi lent against that math. The rest is commentary.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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